

**SUBSTITUTE FOR
HOUSE BILL NO. 4540**

A bill to amend 1966 PA 346, entitled
"State housing development authority act of 1966,"
by amending section 58c (MCL 125.1458c), as amended by 2008 PA 216.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 58c. (1) The authority shall expend money in the fund to
2 make grants, mortgage loans, or other loans to eligible applicants
3 as provided in this section to enable eligible applicants to
4 finance any of the following with respect to housing ~~or home~~
5 ~~ownership for low income, low-income, very low income, and low-~~
6 **income, extremely low income-low-income, or middle-income**
7 households: ~~and with respect to projects located in a downtown area~~
8 ~~or adjacent neighborhood.~~

9 (a) Acquisition of land and buildings.



(b) Rehabilitation.

(c) New construction.

(d) Development and predevelopment costs.

(e) Preservation of existing housing.

(f) Community development projects, including, but not limited to, infrastructure improvements, economic development projects, blight elimination, or community facilities.

(g) Insurance.

(h) Operating and replacement reserves.

(i) Down payment assistance.

(j) Security deposit assistance.

(k) Foreclosure prevention and assistance.

(l) Individual development accounts established under the individual or family development account program act, 2006 PA 513, MCL ~~206.701 to 206.711~~. **206.901 to 206.911.**

(m) Activities related to ending homelessness.

(n) Assistance, **including, but not limited to, support of capacity building, local and regional planning, and housing studies,** to nonprofit organizations, **community development financial institutions,** municipalities, and land bank fast track authorities organized under the land bank fast track act, 2003 PA 258, MCL 124.751 to 124.774.

(o) Predatory lending prevention or relief.

(2) The authority ~~shall~~ **may** expend a portion of the fund for housing for ~~persons with physical or mental handicaps~~ **persons with disabilities** and ~~persons~~ **people** living in eligible distressed areas.

(3) The authority may make a loan to an eligible applicant from the fund at no interest or at below market interest rates,



1 with or without security, and may make a loan for predevelopment
2 financing.

3 (4) The authority may provide assistance to eligible
4 applicants for housing units for very ~~low income or low income~~,
5 extremely ~~low income low income, or middle-income~~ households within
6 multifamily housing that is occupied partly by very ~~low income or~~
7 **low-income**, extremely ~~low income low income, or middle-income~~
8 households and partly by households that do not qualify as very ~~low~~
9 ~~income or low-income~~, extremely ~~low income low income, or middle-~~
10 **income** households, subject to the rules promulgated by the
11 authority.

12 (5) The authority may expend money in the fund for all other
13 things necessary to achieve the objectives and purposes of the fund
14 or this chapter.

15 (6) When performing functions under this chapter, the
16 authority shall consider advice provided by the ~~committee~~ **statewide**
17 **housing partnership council** created ~~under section 58e.~~ **by Executive**
18 **Order No. 2022-10.**

19 Enacting section 1. This amendatory act does not take effect
20 unless all of the following bills of the 103rd Legislature are
21 enacted into law:

22 (a) House Bill No. 4539.

23 (b) House Bill No. 5101.

